

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$249.51 ▲ 0.10%	12M Price Target \$295.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.69T
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AMZN: Hawkish Fed Bites Big Tech, But Retail Wars Heat Up

WHAT HAPPENED

- AMZN basically flat (\$249.51, +0.10%) but that hides the story — the stock got hit ~4% over the past two sessions as Treasury yields surged on hawkish Fed commentary. When yields rise, big tech gets sold because their future earnings are worth less in today's dollars (higher discount rate). This is a macro move, not an AMZN-specific problem.
- Big competitive news: Amazon blocked Meta's shopping AI bot from scraping its site, so Zuckerberg went and cut a deal with Walmart instead. This is a shot across the bow — Meta's massive ad/social reach + Walmart's retail footprint = a real threat to AMZN's e-commerce moat.

WHY IT MATTERS

The Meta-Walmart shopping deal is more meaningful than the market is pricing in today. Amazon just handed a competitor access to Meta's ~4 billion users for social commerce — that's a strategic error if Walmart nails the integration. On the flip side, the fact AMZN blocked Meta tells you management sees their data as a genuine moat worth defending, which is bullish long-term. The bigger near-term driver is macro: with the Fed sounding hawkish (meaning: keeping rates higher for longer), expect more volatility across mega-cap tech — but AMZN's cash-generating retail + AWS combo makes it more defensive than pure-play AI names like NVDA.

POLICY & POLITICAL WATCH

Two big things to watch: (1) The FTC's antitrust case against Amazon is still grinding through courts — a ruling forcing separation of AWS from retail would be catastrophic, but timing is likely 2027+. (2) Tariff policy under the current administration continues to pressure AMZN's third-party sellers who source from China (~40% of marketplace GMV has China exposure) — any escalation raises consumer prices and squeezes marketplace take rates. Also worth watching: the ongoing debate around Section 230 reforms and AI content liability, which could affect how AMZN's Rufus AI shopping assistant operates.

IS IT EXPENSIVE?

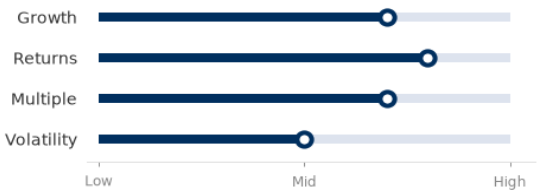
At \$249, AMZN trades around 36x forward earnings — meaning you're paying \$36 for every \$1 of next year's profit. That's not cheap, but it's reasonable for a business growing 10%+ with AWS margins expanding. Compared to GOOGL (~22x) it looks pricey, but the AWS AI story and improving retail margins justify the premium — as long as AWS growth stays above 17%.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$249.51
12M Price Target	\$295.00
Upside / (Downside)	+18.2%
Market Cap	\$2.69T
FY2026E Revenue	\$738M
FY2027E Revenue	\$810M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	36.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$265.00	\$252.00	\$235.00
6 Months	\$285.00	\$265.00	\$225.00
1 Year	\$320.00	\$295.00	\$220.00
2 Years	\$380.00	\$330.00	\$230.00
5 Years	\$500.00	\$400.00	\$260.00
10 Years	\$750.00	\$550.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communications Services (+1.25%) leading — Meta's AI announcements and Alphabet's rebound narrative pulling the group. Energy also catching a bid on Middle East tensions.

COOLING OFF: Financials (-0.18% today, -2.23% for the week) getting hit as the yield curve dynamics shift. Tech broadly under pressure from the hawkish Fed chorus.

ROTATION WATCH: Money is rotating OUT of rate-sensitive growth (tech) and INTO defensives + energy. This is a "higher for longer" trade — bad for AMZN's multiple short-term, but the underlying business isn't affected.

RELATED PLAY: If you like the AWS AI story but want less consumer-facing risk, look at data center REITs (DLR, EQIX) or the picks-and-shovels play in networking (ANET) — they benefit whether it's AMZN or MSFT winning the cloud AI race.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Getting aggressive on AI agents (Muse launch) and now expanding into commerce via Walmart deal — attacking AMZN on two fronts
- WMT (Walmart): Just got handed Meta's user base for shopping AI — this is a legitimate threat to AMZN's retail dominance

AMZN CONTEXT: AMZN is LAGGING its mega-cap tech peers this week — the Meta-Walmart news, hawkish Fed, and lack of a fresh AI catalyst are all weighing. But it's holding the \$249 level, which suggests buyers are stepping in. Being at 59% of its 52-week range means there's room to run if catalysts turn positive.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Solid long-term story with real competitive moats, but near-term headwinds (rates + Meta/Walmart threat) mean I'm not pounding the table here.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. AMZN's dual engine of AWS + retail gives you exposure to two of the biggest secular trends (cloud/AI + e-commerce) in one ticker.

ENTRY POINTS: Add on pullbacks to \$240-245, which is where technical support kicks in. If we see a Fed-panic day that takes us to \$230, back up the truck.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is Q4 earnings (late January) where AWS growth guide for 2027 will either reaccelerate the stock or confirm the bear case.

WHEN TO BAIL: If AWS growth prints below 15% two quarters in a row, or if the FTC case takes a bad turn structurally, I'm reducing. Also cut if we lose \$220 on high volume.

HEDGING: Buy some protective puts at \$230 strike expiring January if you're holding a big position — think of it as insurance costing ~2% of your position to protect against a 10%+ drawdown.